

Matos Review

At a high level, my recommendation would be to approve the Index model. I do have a few minor, high-level observations, though I won't have time to flesh these out in detail. Overall, I think the Capital Market Sophistication subindex is well designed. My main thoughts are around how separable it is from some of the other subindices:

(1) Depth and Stability of the Banking System. The framework works well for equity markets, VC, M&A, and liquidity. For bond markets, I understand and agree with the market-based model you're using. That said, it might be worth either stating this more explicitly or acknowledging the role banks can play in local and international bond markets, particularly in more bank-centered systems.

(2) Free Flow of Goods and Capital. As I mentioned briefly when we spoke, it could be helpful to distinguish more clearly between domestic versus cross-border equity, VC, bond, and M&A activity. For bonds in particular, clarifying domestic vs. foreign issuance and currency denomination could aid interpretation.

I'm no expert on PCA, but my sense is that a few additional robustness checks would increase confidence. None of these points detract from the overall quality or usefulness of the Global Capitalism Index, and I wish you and the team all the best with it!